

Sanjay Singh v. State of U.P. & Others

High Court of Judicature at Allahabad · Division Bench · 9 February 2017 · Writ-C No. 5519 of 2017 · **The writ petition was dismissed: assessment for theft of electricity (Section 135) is to be made under Section 126, following Sandeep Kesarwani, and the petitioner had a statutory alternative remedy of appeal under Section 127, so the High Court declined to interfere under Article 226 with the final Section 126(3) assessment (Seetaram Rice Mill).**

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HEADNOTE

The petitioner's rice mill was inspected on 21 March 2015 and found drawing electricity through cables directly connected to the transformer; an FIR under Section 135 of the Electricity Act, 2003 followed, and a provisional (28 April 2015) and then a final (8 June 2015) assessment were made under Section 126, leading to a recovery citation. Challenging the final assessment and citation, the petitioner argued that because the FIR was under Section 135, only Chapter VIII (Clause 8.1) of the U.P. Electricity Supply Code, 2005 applied, that no Section 126 assessment could be made, and that consequently no Section 127 appeal lay. The Division Bench rejected this, following its earlier decision in Sandeep Kesarwani: theft under Section 135 is a species of the 'unauthorised use of electricity' defined in Section 126, so a Section 126 assessment 'has to follow' even where a Section 135 FIR has been lodged and the criminal trial is pending; the Code, 2005 itself requires the Authorised Officer to serve a provisional assessment bill and then finalise the assessment even in theft cases, the Special Court trying the offence finally determining the civil liability with further action under Section 154(6). Since the assessment was validly made under Section 126(3), the petitioner had a statutory alternative remedy of appeal under Section 127, and following the Supreme Court in Executive Engineer, SOUTHCO v. Seetaram Rice Mill the High Court should normally decline to interfere under Article 226 with a final Section 126(3) assessment; the writ petition was accordingly dismissed.

FACTUAL SUMMARY

On 21 March 2015 the Executive Engineer and Junior Engineer inspected the petitioner Sanjay Singh's premises and found that electricity was being consumed from the transformer through cables directly connected to his rice mill. A First Information Report was lodged under Section 135 of the Electricity Act, 2003, registered as Case Crime No. 107 of 2015. A provisional assessment was prepared on 28 April 2015 and a final assessment order passed on 8 June 2015 under Section 126; on the petitioner's default, the Tehsildar issued a recovery citation on 28 March 2016. The petitioner filed the writ petition to quash the final assessment order and the recovery citation, contending through counsel that because the FIR was under Section 135, proceedings ought to have been taken under Chapter VIII (Clause 8.1) of the U.P. Electricity Supply Code, 2005 and not under Section 126, so that no appeal lay under Section 127. The respondents contended that provisional assessment can be carried out only under Section 126, so a Section 127 appeal was available, relying on the Division Bench decision in Sandeep Kesarwani v. State of U.P.

REUSABLE CONSTRUCTIONS

1. Theft of electricity under Section 135 of the Electricity Act, 2003 is a species of the 'unauthorised use of electricity' defined in Section 126; the civil assessment is therefore to be made under Section 126 even where an FIR under Section 135 has been lodged and the criminal trial is pending before the Special Court. **p. p. 5-6**
2. Chapter VIII (Clause 8.1) of the U.P. Electricity Supply Code, 2005 requires the Authorised Officer to serve a provisional assessment bill and finalise the assessment even in theft cases; that procedure operates in aid of, not in displacement of, a Section 126 assessment, so the consumer's remedy against the final assessment is the statutory appeal under Section 127. **p. p. 5-6**
3. The Special Court trying a Section 135 offence finally determines the civil liability, and after such determination further action is taken in accordance with Section 154(6) of the Electricity Act, 2003. **p. p. 6**
4. Against a final assessment order under Section 126(3), the High Court should normally decline to interfere under Article 226 and relegate the aggrieved consumer to the statutory appeal under Section 127 (Seetaram Rice Mill). **p. p. 7**

Assessment for theft is made under Section 126 even where a Section 135 FIR is lodged and trial is pending

QUESTION

Where an FIR for theft of electricity has been lodged under Section 135 and the criminal trial is pending, can and must the civil assessment be made under Section 126, or does Chapter VIII (Clause 8.1) of the Code oust Section 126?

HOLDING

The assessment must be made under Section 126. Theft under Section 135 is a species of the 'unauthorised use of electricity' defined in Section 126; neither Section 126 nor Section 135 excludes a Section 126 assessment where the use amounts to theft, and the Code, 2005 itself provides that even in theft cases the Authorised Officer serves a provisional assessment bill and thereafter finalises the assessment. Following the Division Bench in Sandeep Kesarwani, assessment under Section 126 is to be made even where a Section 135 offence is pending trial, the Special Court finally determining the civil liability with further action under Section 154(6). The petitioner's contention that only Clause 8.1/Chapter VIII applied — so that no Section 126 assessment lay and no Section 127 appeal was available — was rejected. **p. p. 5-6**

EVIDENCE “the assessment under Section 126 of the Act, 2003 has to follow whenever unauthorised use of electricity is made by a person or a consumer” **p. p. 5**

EVIDENCE “for a theft of electricity under Section 135 of the Act, 2003 assessment has to be made under Section 126 of the Act, 2003” **p. p. 6**

EVIDENCE “Assessment under Section 126 of the Act, 2003 is to be made even in a case where an offence under Section 135 has been made and is pending for trial before the Special Court.” **p. p. 6**

FLAG Source has printed page numbers (pp. 1-7); pins reference those printed pages. Page 1 is the 7.2.2017 adjournment order; the reasoned judgment is dated 9.2.2017 (pp. 2-7). The word 'trail' in an evidence quote is a verbatim typo in the source.

HOLDING-UNIT · EA2003::127

RATIO

Writ not entertained against a final Section 126(3) assessment where a Section 127 appeal lies

QUESTION

Should the High Court entertain a writ against a final assessment order under Section 126(3) when the petitioner has a statutory alternative remedy of appeal under Section 127?

HOLDING

No. Following the Supreme Court in Executive Engineer, SOUTHCO v. Sri Seetaram Rice Mill, the High Court should normally decline to interfere under Article 226 with a final order of assessment passed under Section 126(3). As the petitioner had a statutory alternative remedy of appeal under Section 127, it was not appropriate to entertain the petition, which was accordingly dismissed. **p. p. 7**

EVIDENCE “the High Court should normally decline to interfere with the final order of the assessment passed by the Assessing Officer in terms of Section 126(3) of the Act in exercise of jurisdiction under Article 226 of the Constitution of India” **p. p. 7**

EVIDENCE “The writ petition, is accordingly, dismissed.” **p. p. 7**

PRINCIPLE TAGS

section-126-assessment-applies-to-section-135-theft Theft being a species of unauthorised use, a Section 126 assessment must follow even where a Section 135 FIR is lodged and trial is pending; the petitioner's plea that only Chapter VIII of the Code applied was rejected. Lead authorities: *Sandeep Kesarwani v. State of U.P.* [SCJ-111]. **p. p. 5-6**

civil-liability-in-electricity-theft-determined-by-special-court-s154(6) In theft cases the Special Court trying the offence finally determines the civil liability, after which further action is taken under Section 154(6) of the Act. Lead authorities: *Sandeep Kesarwani v. State of U.P.* [SCJ-111]. **p. p. 6**

alternative-remedy-s127-appeal-bars-writ-against-s126-assessment As a final Section 126(3) assessment had been made and a Section 127 appeal lay, the High Court declined to interfere under Article 226 and dismissed the writ. Lead authorities: *Executive Engineer, SOUTHCO v. Sri Seetaram Rice Mill* [SCJ-041]. **p. p. 7**

NOT DECIDED — THE MERITS OF THE THEFT ALLEGATION AND THE CORRECTNESS OR QUANTUM OF THE SECTION 126 ASSESSMENT

Not examined; the writ was dismissed on the availability of the statutory appeal under Section 127, and the Special Court is to finally determine the civil liability with further action under Section 154(6). **p. p. 6-7**

RELATED CASES — SEE ALSO

SCJ-111 — Sandeep Kesarwani (2014) — the Division Bench decision followed: theft (s.135) is a species of unauthorised use, so a s.126 assessment applies even where a s.135 FIR/trial is pending; Special Court determines civil liability (s.154(6)).

SCJ-041 — Executive Engineer, SOUTHCO v. Seetaram Rice Mill (SC, 2011) — relied on: the High Court should normally decline Article 226 interference with a final s.126(3) assessment and relegate the consumer to the s.127 appeal.

SCJ-040 — Kapil Gupta (2014) — a writ against a Section 126 assessment is not ordinarily entertained where the statutory appeal under Section 127 is available.

SCJ-057 — M/S Kissan Chilling Udyog (2014) — a theft-based Section 126 assessment must follow the Clause 6.8 procedure of the Code (inspection report, show-cause, hearing).

SCJ-049 — M.D., PVVNL (2012) — an assessment for 'unauthorised use of electricity' referable to Section 126 is a statutory function of the Assessing Officer.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Sandeep Kesarwani v. State of U.P. and others</i> 2014(2) ADJ 442 [SCJ-111] Allahabad High Court	Theft under Section 135 is a species of the 'unauthorised use of electricity' under Section 126; assessment under Section 126 is to be made even where an FIR under Section 135 is lodged and trial is pending, the Special Court determining civil liability with further action under Section 154(6).	The Bench reproduced the two relevant issues and the Division Bench's reasoning and answers, and adopted them to reject the petitioner's contention. p. p. 5-6	Respondent	Followed
<i>Executive Engineer, Southern Electricity Supply Company of Orissa Ltd. (SOUTHCO) and another v. Sri Seetaram Rice Mill</i> (2012) 2 SCC 108 [SCJ-041] Supreme Court of India	The High Court should normally decline to interfere under Article 226 with a final order of assessment passed by the Assessing Officer under Section 126(3); the aggrieved person should pursue the statutory appeal under Section 127.	Relied on to hold that, an alternative remedy under Section 127 being available, the writ should not be entertained. p. p. 7	Court	Relied on

SCJ-2636 · Sanjay Singh v. State of U.P. & Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.